

Calendar Line 5

Case Name: *Hakimzada v. My Wireless NCC, Inc.*
Case No.: 24CV441948

This is a putative class and representative action arising from alleged wage and hour violations. In the first amended complaint against defendant My Wireless NCC, Inc. (“Defendant”), plaintiff Tamim Hakimzada alleges failures to pay wages, provide meal and rest breaks, reimburse expenses, provide accurate wage statements, and pay final wages, as well as related PAGA penalties.

Plaintiff moves for preliminary approval of the settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 1, 2026, and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 5.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Similar to its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under the Private Attorneys General Action (“PAGA”). (Lab. Code, § 2699, subd. (s)(2).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington*

v. Starbucks Corp. (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

All current and former employees of Defendant who worked for Defendant in California in a non-exempt position at any time during the Class Period [June 27, 2020 through March 12, 2025].

(Declaration of Connor J.D. Gomez (“Gomez Decl.”), Ex. 1 (“Agreement”), §§ 1.5, 1.13.) The settlement includes a subset PAGA class of Aggrieved Employees, defined as, “all current and former employees of Defendant who worked for Defendant in a non-exempt position in California at any time during the PAGA Period [June 19, 2023 through March 12, 2025].” (*Id.* at §§ 1.4, 1.36.)

Defendant will pay a gross settlement amount of \$230,000. The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (\$76,666.67); litigation costs of up to \$25,000; a PAGA allocation of \$15,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000; and settlement administration costs estimated at \$5,490. (Motion, pp. 3:16–6:21.)

The Agreement provides that Apex Class Action Administration (“Apex”) will serve as the neutral entity that will administer the settlement. (Agreement, § 7.1.) The Court appoints Apex as the settlement administrator.

The Agreement further provides that funds from uncashed settlement checks will be tendered to the California State Controller Unclaimed Property Fund in the name of the Class Member. (Agreement, § 4.4.3.) Code of Civil Procedure section 384 mandates that unclaimed or abandoned class members’ funds be given to “nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy

programs, or to nonprofit organizations providing civil legal services to the indigent.” In the Court’s view, the Agreement’s Unclaimed Funds provision, at paragraph 4.4.3 does not comply with Code of Civil Procedure section 384. Therefore, prior to mailing of the Class Notice, the parties shall meet and confer to designate a *cy pres* beneficiary and amend the Class Notice accordingly.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “all claims, causes of action, damages, wages, benefits, expenses, penalties, debts, liabilities, demands, obligations, attorneys fees, costs, and any other form of relief or remedy in law, equity, or whatever kind of nature, arising from the claims pled in the Action and any claims based on facts alleged in the Operative Complaint....”

(Agreement, § 5.2.) PAGA Aggrieved Employees will be deemed to release Defendant and related entities and persons from “all claims for civil penalties under PAGA arising during the PAGA Period that were alleged in Plaintiff’s PAGA Notice dated June 19, 2024 to the LWDA or that could have been alleged by Plaintiff based on the factual allegations asserted in the PAGA Notice....” (*Id.* at § 5.3.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Motion, pp. 7:3–14:15.) Plaintiff’s counsel states that the parties participated in mediation with Sonya Goodwin, Esq., on January 15, 2025. (Gomez Decl., ¶ 7.) Prior to mediation, Defendant produced a sample of class-member time and pay records, its wage and hour policies, and workforce data, which Plaintiff’s counsel analyzed with the assistance of a statistics expert. (*Id.* at ¶¶ 5–6.) According to the analysis by Plaintiff’s counsel, Defendant’s estimated total maximum exposure for all claims is approximately \$1,980,194, and Defendant’s estimated realistic exposure for all claims is approximately \$396,039. (*Id.* at ¶¶ 17–23; Motion, pp. 2:7–15, 9:1–10:22.)

The gross settlement amount of \$230,000 represents approximately 11.6 percent of Defendant's estimated total maximum exposure (and approximately 58 percent of the estimated realistic exposure), which is within the general range of percentage recoveries that California courts have found to be reasonable.

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be approved.

C. Service Award, Fees and Costs

Plaintiff seeks a service award of \$10,000 and has provided a declaration describing his participation in this action. The Court is inclined to approve the service award in the amount requested and will issue its determination at the final approval hearing. Class counsel will seek attorney fees of up to one-third of the gross settlement amount. Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ..."

Plaintiff states that there are approximately 199 class members who can be identified from a review of Defendant's records. The Court finds that there are common questions regarding whether class members were subjected to unlawful conduct and that proposed class may be conditionally certified for settlement purposes.

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, "If the court has certified the action as a class action, notice of the final approval hearing must be given to the

class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the form of the notice is generally adequate subject to the modifications set forth below. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

As discussed above, the Court instructs the parties to meet and confer to designate a *cy pres* beneficiary in accordance with Code of Civil Procedure section 384 – and to amend the Class Notice accordingly – prior to its mailing. In addition, the following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 5 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above modifications to the notice prior to its mailing, the notice is approved.

III. Conclusion

The Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 1, 2026, and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 5.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 6

Case Name: *Lee v. Gilroy IM 2 LLC*
Case No.: 24CV448348

This is a putative class and representative action arising from alleged wage and hour violations. In the Complaint against defendant Gilroy IM 2 LLC (“Defendant”), plaintiff Edward Lee alleges failures to pay minimum, straight-time, and overtime wages; provide meal and rest periods; timely pay final wages; provide accurate wage statements; and reimburse business expenses; failure to produce employment records; and unfair competition, as well as related PAGA penalties.

Plaintiff moves for preliminary approval of the settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 5.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

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